

CORE MARKET BEHAVIOR PRINCIPLES

1. Strength

Market orders overpower resting liquidity → clean directional movement.

2. Absorption

Aggressive orders fail to break through → price stalls at key level → potential reversal.

3. Exhaustion

Trend continues but market orders weaken → signals loss of momentum → reversal likely.

TRAPPED TRADERS (DELTA-BASED TRAPS)

- Identify aggressive buyers/sellers into key zones.
- Confirm they're offside using footprint (e.g., delta spike, then price reverses).
- Entry trigger: candle close back through trap origin.
- Reminder: large delta doesn't always mean strength—it may be fills into strong passive orders.

RECLAIMS & REBIDS (LEVEL REASSERTION BEHAVIOR)

- After a key level is broken (e.g., prior day high/low, session VWAP, range edge), we look for immediate acceptance or rejection behavior.
- For a long, we want to see the level reclaimed (price pushes back above) and then:
 - The level gets rebid (passive bids step in to support it).
 - Aggressive sellers fail to push price back below → absorbed into the book.
 - Signs of absorption and rebidding = confirmation of strength and shift in control.
 - This often occurs after a false break or a trap, where price probes below/above and then reasserts back inside.
 - Entry confirmation:
 - Footprint shows sellers hitting into passive bids without further downside progress.
 - Candle/body closes back above the level (or inside range, if sweep-based).

Opposite applies for shorts:

- A level is lost → price retests → reoffers appear, absorbing buyers.
- Trapped longs cannot lift price → signal to enter short.

Context Note:

Reclaims are strongest when they happen quickly after the level is lost. Delayed reclaims tend to be lower probability, as they suggest lack of urgency or waning interest from responsive participants.

1. Small Initial Balance (IB) Intraday Momentum Setup

Thesis:

When the initial balance (first hour of the session) is tight relative to recent volatility (ADR), the likelihood of a trend day increases significantly.

Trigger Criteria:

- Initial Balance $\leq$ 20-day ASR
- Trend day probability high
- Most effective during Asia session post NYSE close

Execution:

1. Mark the IB range after the first hour of trading
2. Assess IB size as a fraction of 20-day ASR
3. Monitor for breakout direction with supporting OI and delta
4. **Entry:** Breakout of IB high or low with strong delta/OI push
5. **Stop:** Outside IB range or near midpoint
6. **TP:** 2X-3X the IB range, or trail using VWAP

Avoid:

- Wide IBs ($>150\%$ ASR)

2. Monday Range Sweep + Mean Reversion

Thesis:

Monday frequently sets the high or low of the week. A sweep of Monday's range early in the week often leads to a sharp mean reversion.

Trigger Criteria:

- Weekly high/low statistically forms on Monday
- Reversals often occur after Tuesday or Wednesday sweep of Monday's extremes

Execution:

1. Mark Monday's high and low on Tuesday morning
2. Wait for price to sweep one of those levels
3. Confirm rejection using:
 - Wick rejection or SFP
 - Delta divergence
 - Footprint exhaustion
4. **Entry:** Reclaim back inside range with engulfing candle
5. **Stop:** Just beyond swept high/low
6. **TP:** Opposite end of Monday's range

Confirmation Add-ons:

- Rising OI + delta into the sweep followed by reversal
 - NY session overlaps are ideal for execution
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3. Asian Session Liquidity Trap Reversal

Thesis:

Post Expansive NY session, we often see a liquidity grab below highs and lows during the Asian open.

Trigger Criteria:

- Price extends beyond obvious liquidity during NY-ETH and ASIA RTH
- Volume + delta spike into highs/lows with rejection

Execution:

1. Monitor NY-ETH or NY-POST (8 PM ET) for false breakouts
2. Look for signs of exhaustion:
 - Large wick
 - Trapped delta
 - OI spike with rejection
3. **Entry:** Reclaim of broken level with reversal confirmation
4. **Stop:** Beyond wick/structure high
5. **TP:** Mid-range, VWAP, or opposite extreme

Preferred Context:

- Coming off NY expansion
 - Price breaks a key level then immediately shows weakness in continuation.
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4. Round Number Reversal

Thesis:

Large round numbers (e.g., 90,000, 95,000) are magnets for breakout orders but often turn into trap zones, especially if absorption is present.

Trigger Criteria:

- Price breaks a round number without follow-through
- OI and delta increase, then price reverses

Execution:

1. Wait for price to tag and break a round number
2. Look for failed follow-through or rejection (footprint or wick)
3. **Entry:** Reclaim below round number after trap confirmation
4. **Stop:** Above breakout wick
5. **TP:** Mid-range, session VWAP, or Prior Positioning Cluster

Add-ons for Confirmation:

- Large delta buying into resistance
 - Footprint imbalance + reversal
 - No continuation volume after breakout
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5. Fast Spike + Trapped Delta Reversal**Thesis:**

Sharp spikes into key levels (e.g., OBs, NPOCs, range edges) are more likely to trap participants and reverse, compared to slow grinds that allow efficient positioning. Second push that runs the stops is the reversal.

Trigger Criteria:

- Quick, aggressive spike into a level
- Delta + OI surge followed by reversal

Execution:

1. Identify level of interest (e.g., OB, trap zone, stop pool)
2. Wait for fast price spike with strong buying/selling activity
3. Confirm:
 - Trapped delta on footprint
 - OI jump
 - Rejection wick or engulfing
4. **Entry:** Break back below/above level after trap confirmed

5. **Stop:** Outside of wick or spike structure
6. **TP:** Return to mean, VWAP, or key mid-level

Avoid:

- Slow, low-volume grinds into levels
 - Clean acceptance and build above/below level
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6. Wick Fill Reversal Setup

Thesis:

Large wicks are areas of inefficient price discovery. These areas often get partially filled before continuation or reversal. Excess and wicks are both interchangeable. *“If it prints there, it will trade there again”*

Trigger Criteria:

- Candle with large wick (especially session extreme)
- Partial fill $\geq 50\%$ is key before bias forms

Execution:

1. Mark large wicks from recent sessions
2. Wait for partial fill (typically $\geq 50\%$) before acting
3. Look for:
 - Exhaustion on footprint
 - Reversal pattern (engulfing, doji reclaim)
4. **Entry:** Fade the wick after partial fill and rejection
5. **Stop:** Beyond wick low/high
6. **TP:** Mid-range or origin of the wick

Opportunities:

- Fade the move using wick as target
 - OR fade re-test into wick after partial fill
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7. Wick Fill Targeting Setup

("Return to the Wick" Strategy After Aggressive Spike + Stalling)

Thesis

When price makes a sharp impulse move (liquidation wick, breakout wick), it often leaves an inefficient candle body. If momentum fades and price stalls near the wick's end, the market tends to revert back to **fill the wick**. This move is often missed because traders chase the continuation instead of targeting the inefficiency left behind.

Ideal Conditions

- A large impulsive candle with an extended wick (often news/liquidation driven).
- The wick isn't filled (or only partially).
- Price stalls shortly after, no continuation or follow-through.
- Open interest increases on the spike (late entrants), then flattens or reverses.
- Delta peaks and rolls → signals aggression exhausted.

Execution Steps

1. Identify the Wick Move

- Candle with long tail ($\geq 1.5x$ average size).
- Wick > 50% of candle range.
- Ideally caused by a news-driven or liquidation event (visible on footprint/tape).

2. Wait for Weak Continuation

- Price fails to extend after the wick.
- Watch for consolidation, compression, or microstructure reversal near wick end.

3. Confirmation Signals

- Delta rolls over (buyers/sellers fading).
- Open interest stabilizes or decreases.
- Price closes back inside wick zone.

4. Entry

- Enter **after price closes back inside the wick**.
- Conservative: wait for microstructure break (e.g., LTF structure shift down/up).

5. Stop

- Just above/below the wick high/low (outside inefficiency).

6. Target

- **Midpoint to full fill** of the wick zone.
- VWAP or structural level inside the wick body.

Confluence Enhancers

- Wick aligns with:
 - NPOC
 - Session high/low
 - Rejected order block
- Volume tapering after the spike
- Appears during NY session (trap timing)

Example Scenario

- BTC spikes up on CPI drop → aggressive 1m candle with 400 delta.
 - Continuation stalls within 2 candles.
 - Buyers enter late (OI↑), but delta flattens.
 - Price closes back into the wick.
 - Short entry → target: wick fill, possibly VWAP.
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8. Trapped Trader Reversal Using Delta + OI

Thesis:

Trapped participants can fuel powerful reversals. The goal is to identify new aggressive entries that quickly turn against participants.

Trigger Criteria:

- OI increases + delta shows aggression into level
- Price fails to continue and reverses

Execution:

1. Mark key level (support/resistance, OB, prior high/low)
2. Wait for:
 - Delta and OI surge into the level
 - Candle close in the opposite direction
 - Reclaim and rebid
3. Footprint: buyers trapped near highs or sellers near lows
4. **Entry:** On close away from trapped area
5. **Stop:** Beyond swing high/low or OB edge

6. **TP:** VWAP, mid-range, prior session value edge

Chart Signatures:

- Spike in volume + OI
- Followed by reversal candle
- Failure to defend by aggressors
- Footprint Cluster

9. London Range Trap and Reversal

Thesis:

The London session (3:00–8:00 AM ET / 07:00–12:00 UTC) is least likely to define the high/low of the day. The NY session frequently sweeps this range, trapping traders before reversing.

Trigger Criteria:

- London high/low is swept during NY hours
- Price reclaims range = trap confirmation

Execution:

1. Mark London high and low after 12:00 UTC
2. Watch NY session (12:00–14:00 UTC) for sweep
3. Confirm trap using:
 - Wick rejection or SFP
 - Delta absorption
 - Reclaim of range
4. **Entry:** Long on reclaim of London low; short on reclaim of London high
5. **Stop:** Beyond sweep candle or session high/low
6. **TP1:** Midpoint of range
7. **TP2:** Opposite end of range

Best Context:

- Narrow Asia session
- No macro data releases during NY
- OI and delta build at sweep location

Premarket High/Low Sweep (Mean Reversion Setup)**Setup Thesis:**

- After balanced Asia + London sessions, premarket highs/lows act as trap zones.
- Price sweeps liquidity through these extremes during early NY session.
- Setup is designed to capture failed breakouts and mean reversion flow.

Trigger Conditions:

- Asia + London form a tight, balanced range (Wide IB, Often > 30% of range).
- Early NY price action breaks above/below premarket high/low.
- Sweep is impulsive: characterized by high delta, volume spike.
- Look for immediate reclaim of broken level.

Execution Criteria:

- Entry: Reclaim of premarket high/low after sweep + failed continuation.
- Confirmations:
 - Delta divergence (buyer/seller aggression failing).
 - Open interest flush or absorption.
 - Clustered volume spike at sweep point.
- Stop: Just beyond sweep wick.
- Target: Return to VWAP / midpoint / opposite side of range.

Best Context:

- Trendless backdrop (no clean higher high/lower low on HTF).

- Early ETF flows / news absent or muted.
- NY open volatility provides liquidity to trap intraday traders.
- Prior day was inside/balanced or with weak close (uncertain continuation).

Trade Behavior Notes:

- Look for clean rejection candles: engulfing or strong wick.
- Avoid if continuation follows sweep (no reclaim = no trade).
- Avoid overlapping economic data releases unless already priced in.

Model Comparison:

- Structurally similar to: London sweep setup / Inside day fakeout.
- More dependent on session structure and timing alignment.

10. Inside Day Setup

An **inside day** occurs when the entire daily candle (high and low) is contained within the previous day's range. It reflects **consolidation**, **indecision**, or **balance**.

- **Day 1:** Wide-range candle (reference candle).
- **Day 2:** Narrower candle (inside day), high is lower than Day 1 high, low is higher than Day 1 low.

Key Concepts

- It's a **pause** in price action, volatility compression.
- Often precedes **expansion** (breakout).
- Works well when it forms **after a trend day**, or at **key levels** (support/resistance, supply/demand zones, POCs).

Execution Methods

1. Breakout Play

- Wait for price to break above the high or below the low of the inside day.
- Entry = on break or retest.
- Stop = other side of the inside candle.
- Target = range expansion (often 1x or 2x the inside day's range).

2. False Break Trap

- Price breaks one side of the inside day → then reverses.
- Entry = on reclaim (back inside the range).
- Bias = fade toward the opposite side of the range.
- Works especially well with confirmation from delta, open interest, or trapped traders.

Inside Day + Monday Range

A high-probability use of the inside day:

1. **Monday range** forms.
2. **Tuesday** is an inside day → price compresses.
3. **Wednesday** → breakout or sweep of Tuesday.
4. If sweep fails and price re-enters range → fade it and target opposite side of Monday's range.

Context Matters

- Look for **confluence**: inside day + wick fill, OB, round number, NPOC.
- Higher timeframe structure should guide directional bias.
- Use with volume/delta analysis to filter traps or commitment.

11. Engulfing Reversal

An **engulfing candle** fully "engulfs" the previous candle's range:

- **Bullish engulfing:**
 - Occurs in a downtrend or after a pullback.
 - Current candle **opens lower** and **closes higher** than the previous candle's **entire range** (body and sometimes wick).
- **Bearish engulfing:**
 - Occurs in an uptrend or after a rally.
 - Current candle **opens higher** and **closes below** the previous candle's **entire range**.

It reflects a **complete rejection** of prior market intent.

Why They Work

- Signal **imbalance**: Buyers/sellers have overpowered the prior direction.
- Often form at **key levels**: liquidity pools, OBs, POCs, session highs/lows.
- Great for identifying:
 - **Trap exits** (e.g., after SFPs or wick traps)
 - **Microstructure flips**
 - **Orderflow reversals** when delta contradicts direction.

Contextual Triggers for Engulfing Reversals

Use engulfing patterns with added context for higher conviction:

1. Liquidity Sweep + Engulf

- Price sweeps highs/lows (e.g. Monday range high), then prints engulfing reversal.
- Ideal reversal signal: adds trap confirmation.

2. High Delta / High OI Candle Gets Reversed

- Example: candle shows strong delta (lots of buyers), but next bar engulfs it bearishly.

- That bar is now **trapped volume**.

3. After Compression / Inside Days

- Inside day or tight consolidation breaks → fails → gets engulfed → marks reversal.
- Useful for fade trades or catching day 2 reversals.

4. At VWAP/NPOC/OB Zones

- Price taps a key zone → shows wick/absorption → then confirms with engulfing reversal.
- Filter: add tape clues like absorption, divergence, or exhaustion.

Ideal Setup Structure

1. Fast move into a level (traps or cleans liquidity).
2. Small indecision candle or trap bar.
3. Full-bodied engulfing reversal (momentum shift).
4. Entry on engulf close or next candle retest.
5. Stop = beyond wick of the engulfed candle.
6. Target = structure retest, inefficiency, or next zone.

Key Filters

- Avoid engulfing signals in **low volume chop** or **mid-range** with no bias.
- Strongest when they:
 - Form at **edges** of structure.
 - **Reject** trap zones with commitment.
 - Follow **large wick** or SFP candles.

12. Consolidation Breakout (Intraweek / Intraday Setup)

Setup Thesis:

- Market consolidates for extended period after impulsive move.
- Breakout expected after sufficient balance and absorption.
- Works best with trend alignment, supportive catalyst or session trigger.

Checks in Favor:

1. Catalyst: Macro headline / ETF inflow / Earnings surprise.
2. Gap behavior: Gap-and-hold or gap-fill-and-hold.
3. Time of day: Midday (US), post-EU lunch, or post-Asia drift.
4. VWAP reclaim or strong price holding above VWAP.
5. Extended sideways consolidation (≥ 3 hours).
6. Trend alignment: Above long term MA & EMA (HTF bullish bias).

Trigger Conditions:

- Narrow range breaks with above average volume.
- No supply response at highs of range.
- High OI build-up within consolidation that resolves higher.

Execution Criteria:

- Entry: On breakout candle close or first pullback (1-min/5-min).
- Confirmation:
 - Delta surge and imbalance.
 - OI increase post-break (not liquidation driven).
 - Tape speed / acceleration.
- Stop: Below consolidation low or midpoint.
- Target: Range projection or HTF level.

Context Enhancers:

- Breakout occurs after news event digestion.
- Pinned VWAP and narrow Bollinger Bands.
- Implied vol compression followed by release.

Cautions:

- Avoid front-running unless passive entry inside structure.
- Avoid breakouts into HTF resistance.
- Watch for false breaks and failed follow-through.

Variants:

- Failed Breakdown → Breakout (spring setup).
- Overnight Gap + Intraday Coil = continuation.
- Flat top with rising lows = buyer pressure compression.